Jefferies

USA | Aerospace & Defense Electronics

Equity Research
May 29, 2026

A&D Weekly: BA and Airbus Skylines 11% Oversubscribed in 2027 vs JEF Ests

We review the BA and Airbus skylines as BA recently received FAA approval to increase 737 production to 47/mo. Cirium® shows BA deliveries up 10% y-o-y to 695 in 2026 (6% ahead of JEF est for 659) and up 19% to 826 in 2027 (9% ahead of JEFe 761). The Airbus skyline shows 872 deliveries in 2026 (in line with JEFe 870) and up 26% to 1,099 in 2027 (13% ahead of JEFe 969).

2027 Skyline 9% Oversubscribed at BA and 13% at Airbus vs JEF Estimates. Delivery slots for the major platforms across BA and Airbus are sold out this decade, w/ BA's CEO Kelly Ortberg reaffirming this week that there have been no indications from customers to defer delivery slots. Cirium® skyline points to 695 and 826 deliveries from BA in 2026 and 2027, respectively, 6% and 9% ahead of JEFe. The Airbus skyline is in line for 2026 (872 vs 870 est) and 13% ahead in 2027 (1,099 vs 969 est). Between 2026 & 2028, JEF estimates 5,139 deliveries vs 5,539 in the skyline, or ~108% of deliveries assigned, which includes 2026 at 103% in aggregate, 2027 at 111%, 2028 at 109%, and 2029 at 101%.

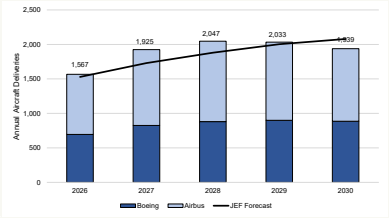
MAX Skyline at 43/mo in 2026 and 53/mo in 2027 vs. JEFe 41/mo and 49/mo. The Cirium® skyline points to 518 MAX deliveries in 2026 (Ex 1), or 43/mo, 6% ahead of our delivery est of 492 (41/mo) vs our production est of 523 (40/mo). This week, BA stated it passed its FAA capstone to increase the 737 production to 47/mo from 42/mo. The skyline points to MAX deliveries of 636 (53/mo) and 683 (57/mo) in 2027 and 2028, respectively, vs our ests of 49/mo and 52/mo.

787 Skyline at 8.5/mo in 2026 and 10/mo in 2027 vs. JEFe 8.3/mo and 9.3/mo. The Cirium skyline points to 102 787 deliveries in 2026, or 8.5/mo compared to our delivery est of 100 (8.3/mo). This week, BA stated it has produced aircraft that are awaiting delivery related to delays for premium seat certifications, as well as a near-term recovery plan in place for engines to catch up by year-end. The skyline points to 787 deliveries of 120 (10/mo) and 120 (10/mo) in 2027 and 2028, respectively, vs our ests of 9.3/mo and 10/mo.

A320 Skyline at 56/mo in 2026 and 71/mo in 2027 vs. JEFe 57/mo and 63/mo. Airbus has guided roughly 870 deliveries in 2026 vs JEFe and the skyline at 870 and 872, respectively. The skyline points to 1,099 deliveries in 2027, which would represent a 26% y-o-y increase and at 13% ahead of JEF estimates for 969 deliveries in 2027. On the A320neo family, the skyline points to a 56/mo delivery rate in 2026 (on 11.5 mos) increasing to 71/mo in 2027, compared to JEF ests of 57/mo increasing to 63/mo in 2027 and 69/mo in the 2028 time frame vs the target of 75/mo in that time frame. On the A350, the skyline shows 76 deliveries in 2026 (7/mo on 11-mos) and 115 in 2027 (10.5/mo), which compares to JEF estimates for 67 (6.1/mo) and 80 (7.3/mo), respectively. The target remains 12/mo by 2028.

Order Talk: China MAX, Freighters, April O&D. Last week, China confirmed the 200-aircraft BA order from President Trump's visit to China, representing the first order since 2017. There is upside to 750 aircraft. On freighters, China Airlines directors approved the purchase of two 777-300Fs, while Air China Cargo expanded its purchase of A350Fs by 4 aircraft to a total of 10. April incl 57 MAXs (52 for unidentified customers, 4 for Biman Bangladesh Airlines, and 1 for TUI), 51 787s, and 28 777Xs for an unidentified customer(s). Total backlog stands at 6,814 (6,216 after ASC 606).

Exhibit 1 - OEM Skyline Versus JEF Delivery Estimates - Skyline Shows Aircraft Oversold Through 2028



Source: Cirium®, Company data, Jefferies estimates

Exhibit 2 - OEM Skyline Through 2030 - Skyline Tracking 4% Ahead of Ests on Avg

Boeing	2026	2027	2028	2029	2030	Total
737 NG	7	11	0	3	2	23
737 Max	518	636	683	686	693	3,216
767	38	18	14	26	0	96
777	30	41	64	65	66	266
787	102	120	120	120	126	588
BA Total	**695**	**826**	**881**	**900**	**887**	**4,189**
JEF Est.	*659*	*761*	*813*	*837*	*879*	*3,949*
Diff	*5.5%*	*8.5%*	*8.4%*	*7.5%*	*0.9%*	*6.1%*

Airbus	2026	2027	2028	2029	2030	Total
A220 (CSeries)	108	125	140	102	32	507
A319	3	7	2	2	0	14
A320	206	236	215	214	207	1,078
A321	438	572	630	633	628	2,901
A330	41	44	44	46	53	228
A350	76	115	135	136	132	594
Airbus Total	**872**	**1,099**	**1,166**	**1,133**	**1,052**	**5,322**
JEF Est.	*870*	*969*	*1,067*	*1,167*	*1,200*	*5,273*
Grand Total	**1,567**	**1,925**	**2,047**	**2,033**	**1,939**	**9,511**
JEF Est.	*1,529*	*1,730*	*1,880*	*2,004*	*2,079*	*9,222*
Diff	*2.5%*	*11.3%*	*8.9%*	*1.4%*	*-6.7%*	*3.1%*

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Defense & Space

- **AVAV/KTOS:** The DoW has invited 49 companies to compete in the next phase of its $1BB small drone procurement program, with 79 drone systems set for evaluation. The Phase II tests will assess capabilities for long-range strike and close-quarters tactical assault missions. Companies invited include AVAV, KTOS.
- **BA/Saab:** Canada selected Saab's GlobalEye over Boeing's E-7 for its early warning aircraft, signaling a shift away from reliance on U.S. defense suppliers.
- **BA:** Delivered the first of six KC-46 tankers on contract to the Israeli Air Force, bringing the global fleet to more than 110 including the 107 delivered to USAF.
- **Blue Origin:** Investing $600MM to build a new upper-stage rocket factory in Florida, expanding its Rocket Park campus. The 830,000-square-foot "Project Horizon" facility will create 500 jobs and support as launch activity.
- **Hermeus:** Achieved a milestone by flying its Quarterhorse Mk 2.1 above Mach 1.2, marking the first privately funded uncrewed supersonic flight in the U.S. The rapid progress keeps the company on track for Mach 3 next year, as it shifts near-term focus to military applications while advancing technologies for future hypersonic aircraft.
- **LMT:** NASA is increasing the pace of X-59 flight tests, logging nearly 20 hours across 16 flights as it prepares for the aircraft's first supersonic milestone. Recent testing has expanded across a wider flight envelope to validate performance and structural behavior ahead of future low-boom acoustic validation flights.
- **SpaceX:** Awarded a $2.29BB OTA for the Space Data Network fielding of backbone data transport constellation in LEO. SpaceX will deliver a fully operational prototype capability by YE27. SDN Backbone is based on SpaceX's Starshield militarized variant of its commercial Starlink constellation.
- The DoW is seeking $29.5BB in FY27 to expand AI supercomputing infrastructure and secure data centers under its "AI Arsenal" initiative, aiming to scale and centralize computing power to support advanced military applications. Separately, Congress is advancing legislation to increase transparency around the SBA's AI use, requiring annual reporting after prior compliance gaps highlighted weaknesses in the agency's oversight.

Commercial Aerospace

- **AIR FP:** China delayed Airbus deliveries leveraging the Civil Aviation Administration's (CAAC) administrative approvals to expedite COMAC C919 approval in Europe. In Q1, CEO Guillaume Faury reported the delay has blocked deliveries of ~20 aircraft to Chinese Airlines.
- **BA:** In final stages of MAX 7 and 10 approval, with MAX 7 as soon as Summer. 80% of flight tests are complete. BA will introduce the anti-ice redesign on new-build Max 8s, Ortberg says. It also plans to equip new Max 9s and in-service -8s and -9s with the changes.
- **BA:** FAA Administrator Bryan Bedford indicated the Boeing 737 MAX 7 and 10 are expected to be certified by year-end, with the 777X likely following in 2027. The timeline reflects delays, particularly due to extended ETOPS testing, pushing completion of the 777X flight test program into next year.
- **BA/GKN Aerospace:** GKN Aerospace's Garden Grove facility had a cooling system failure for a pressurized tank of chemicals that forced a multi-day evacuation of the local area. The site manufactures F-35 canopies and the transparent windows used on the 787, 737, A350, HondaJet, and Bombardier C-Series.
- **Evio:** Molicel has partnered with Evio to develop high-performance lithium-ion batteries for the hybrid-electric Evio 810 regional aircraft, supporting both all-electric short routes and hybrid longer missions. The collaboration advances energy storage testing and integration as Evio targets a 2029 first flight and early 2030s entry into service.
- **Joby:** Seeking to dismiss Archer Aviation's claims that it misrepresented its China operations and import practices, arguing the allegations lack factual support and are contradicted by its disclosures. The dispute is part of an escalating legal battle, with Archer maintaining that discovery will substantiate its claims of misleading marketing and unfair competition.

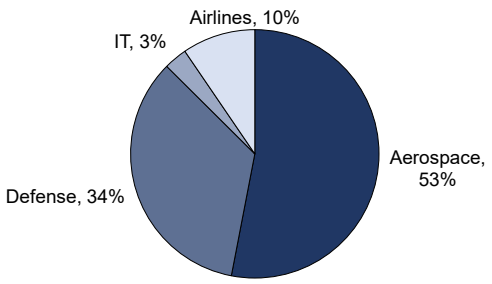
Airlines

- **AAL:** Plans to equip over 500 narrowbody aircraft with Starlink in-flight Wi-Fi starting in early 2027, expanding high-speed connectivity across domestic and short-haul international routes. The move reflects rising demand for premium onboard internet and aligns with broader airline adoption of Starlink as a key competitive offering.
- **Air India/IndiGo:**Reuters reports IndiGo & Air India, India's two largest airlines, plan to sharply reduce domestic capacity in June/July amid rising fuel costs. Indigo plans to cut ~7%-10% of its planned domestic flights for the period, while Air India will cut ~22%. The two carriers together control ~90% of India's domestic air passenger market w/ the next biggest carries by capacity being Akasa (~6%) and SpiceJet (~3%).

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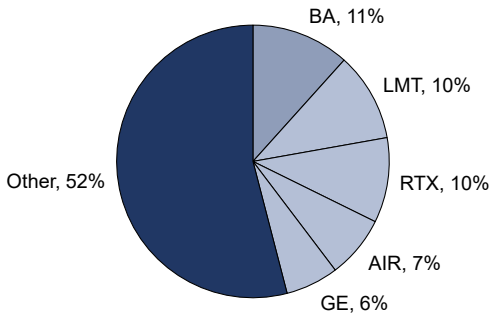
- **China Eastern:** An A350 experienced multiple braking system alerts after landing, ultimately losing braking capability while taxiing at Shanghai Hongqiao Airport. Despite using reverse thrust, the aircraft could not stop safely and collided multiple times with a passenger boarding bridge, with the incident now under investigation.
- **JBLU:** Announced its intent to launch nonstop service between between Fort Lauderdale-Hollywood International Airport (FLL) and Caracas, Venezuela (CCS). This would marks JBLU's first ever service into Venezuela.
- **Ryanair:** plans to bring engine maintenance in-house to significantly reduce costs and improve turnaround times, narrowing expenses to roughly double its legacy PBH rates versus potentially 4–5x under renegotiated agreements. The strategy is expected to boost aircraft availability, reduce spare engine needs, and widen its cost advantage, supported by a planned $800M investment in new maintenance facilities.

Exhibit 3 - Investor Interest Last 30-Days - Aerospace Accounted for 59% of Discussions



Source: Jefferies

Exhibit 4 - Investor Interest Last 30-Days - BA, DAL & TDG Lead



Source: Jefferies

Upcoming Events

Bespoke Jefferies Events

- **June 8-11, 2026:** Aerospace Visit w/ **AAL**, **ATI**, **CAE**, **ESLT**, **LHX**, **LUV**, Novaria, **SARO, TXT -** Dallas, TX (waitlist)
  - **June 8: 6:00PM -** Novaria Mgmt Dinner
  - **June 9: CAE, ESLT, SARO, LUV**
  - **June 10: AAL** Mgmt Meeting, **LHX** Site Visit, ATI Mgmt Dinner
  - **June 11: TXT** Bell Site Visit
- **June 18, 2026: TXT** Mgmt Lunch, Providence, RI (waitlist)
- **June 23-25, 2026: WWD** NDR - London and Zurich
- **June 30, 2026: PSN CEO** NDR - NYC
- **July 19-21, 2026:** Farnborough Air Show & Cocktail Reception w/ ATI, **BETA**, BOC, BAE, **CAE**, Crane, Ducommun, ETN, **ESLT**, EMBJ, **FLY**, **GE**, **HEI**, **HXL**, IAG, ITP, Joby, Karman, Leonardo, **LOAR**, Montana, Moog, Otto, PH, **SARO**, **TXT**, Vertical, **WWD** - Farnborough, UK
- **July 28, 2026: LMT CFO** NDR - NYC
- **November 2026:** UT Game and Austin Defense Tech Trip (loading)

Summits - Register here

- **June 1, 2026:** Airlines Summit: Air Astana, **AC CN**, APA, ALGT, ALPA, Azul, Breeze, Frontier, JSX Air, LATAM, Norwegian, SWAPA.
- **June 4, 2026:** Defense Tech Summit: Advanced Navigation, **AVEX**, Atreides, **CACI**, Firestorm Labs, Hermeus, Magnet Defense, Merlin Labs, Mobilicom, Omni Federal, Ondas, **PDYN**, Salient Motion, Shield AI, True Anomaly.
- **June 8, 2026:** Innovative Aerospace Summit: Ampirus, Archer, Arrive AI, **BETA**, Bristow, Dronamics Global, Ehang, Elroy Air, **EVEX**, EVIO, Joby, New Horizon Aircraft, Otto Aerospace, Surf Air Mobility, Vertical Aerospace, VertiPorts, Wisk Aero.
- **June 25, 2026:** Biz Jet Summit: Cirrus Aircraft, Corporate Jet Investor, Dallas Jet, Embraer, GAMA, Guardian Jet, Honda Aircraft, Mesinger Jet Sales, Wheels Up.

Jefferies Conferences

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- **Jun 16-17, 2026:** JEF Consumer Conf w/ **AAL**, **DAL** - Nantucket, MA
- **Sept 9-10, 2026:** JEF Industrial Conf (In Progress) w/ 30 Companies Registered Thus Far NYC w/ **AVAV, AAL, BAH, BKSY, CDRE, CAE, ESLT, EVEX, FLY, FTAI, HEI, HXL, LHX, LDOS, MRCY, NXSN IT, PDYN, PSN, LUV, RDW, SARO, TDY, TXT, UAL, VOYG, VSEC, UP, WWD.**
    - **Sept 9: CAE**, **LUV**, and **TXT** dinners
    - **Sept 10: WWD** dinner

Marketing & Analyst Days

- **June 4:** NYC Marketing
- **June 2:** Arizona Marketing
- **June 2-3: HON** Analyst Day

Expert Calls

- **Thurs, June 4:** An Update on US-China Relations with Dr. Oriana Mastro (*Link*)
- **Thurs, June 11:** Defense Acquisition w/ FTI Consulting (*Link*)
- **Weds, June 24:** Defense Update with Former Secretary of the Air Force Hon. Deborah Lee James (*Link*)
- **Mon, June 29:** Airline Rewards w/ Point.me (*Link*)

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Company Valuation/Risks

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below $10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.
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Other Companies Mentioned in This Report

- APA Corporation (APA: $36.43, HOLD)
- AeroVironment, Inc. (AVAV: $207.24, BUY)
- Aevex Corp (AVEX: $38.47, BUY)
- Air Astana (AIRA KZ: KZT651.01, BUY)
- Air Canada (AC CN: C$22.07, HOLD)
- Airbus Group NV (AIR FP: €179.70, HOLD)
- Amazon.com, Inc (AMZN: $270.64, BUY)
- American Airlines Group, Inc. (AAL: $14.64, HOLD)
- Beta Technologies (BETA: $18.34, BUY)
- BlackSky Technology (BKSY: $48.47, BUY)
- Booz Allen Hamilton (BAH: $79.18, HOLD)
- CACI International Inc. (CACI: $513.51, HOLD)
- CAE Inc (CAE: $25.81, HOLD)
- Cadre Holdings, Inc. (CDRE: $31.14, BUY)
- China Eastern Air-H (670 HK: HK$3.80, HOLD)
- Delta Air Lines, Inc. (DAL: $82.48, BUY)
- Eaton Corp. (ETN: $400.60, BUY)
- Elbit Systems Ltd. (ESLT: $880.89, HOLD)
- Eve Holding, Inc. (EVEX: $3.45, BUY)
- FTAI Aviation Ltd (FTAI: $260.34, BUY)
- Firefly Aerospace (FLY: $46.49, BUY)
- General Electric Company (GE: $323.76, BUY)
- Heico Corporation (HEI: $348.18, BUY)
- Hexcel Corporation (HXL: $89.79, HOLD)
- IAG (IAG LN: £4.30, BUY)
- InterGlobe Aviation Limited (INDIGO IN: INR4,405.95, BUY)
- Kratos Defense & Security Solutions, Inc. (KTOS: $64.13, BUY)
- L3Harris Technologies (LHX: $315.18, RESTRICTED)
- Leidos Holdings (LDOS: $127.80, BUY)
- Leonardo SpA (LDO IM: €54.42, HOLD)
- Loar Holdings (LOAR: $64.48, BUY)
- Lockheed Martin Corp. (LMT: $530.45, HOLD)
- Mercury Systems (MRCY: $111.70, HOLD)
- Next Vision Stabilized Systems (NXSN IT: ILS300.00, BUY)
- Palladyne AI Corp (PDYN: $8.43, HOLD)
- Parker Hannifin (PH: $844.63, BUY)
- Parsons Corporation (PSN: $59.10, HOLD)
- Redwire (RDW: $24.57, BUY)

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- Ryanair (RYA ID: €25.13, HOLD)
- Southwest Airlines Co. (LUV: $42.95, HOLD)
- StandardAero (SARO: $28.64, BUY)
- TUI Group (TUI LN: £5.64, HOLD)
- Teledyne Technologies Incorporated (TDY: $619.83, BUY)
- Textron Inc. (TXT: $91.76, BUY)
- The Boeing Company (BA: $231.15, BUY)
- United Airlines Holdings, Inc. (UAL: $114.80, BUY)
- VSE Corporation (VSEC: $185.15, BUY)
- Voyager Technologies, Inc. (VOYG: $49.53, BUY)
- Wheels Up (UP: $8.82, RESTRICTED)
- Woodward (WWD: $350.03, BUY)

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2196	62.17%	384	17.49%	113	5.15%
HOLD	1176	33.30%	110	9.35%	21	1.79%
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